EXECUTIVE SUMMARY

A. Introduction

Agency Profile

The Municipality of Gonzaga, Cagayan was established as a regular municipality in 1918. It was first named as "Rumang-ay", meaning progressive, and was later renamed in honor of Graciano Gonzaga, the first Filipino Governor of Cagayan. It was found, however, that there is no record available that should show any specific law for its creation.

B. Scope of Audit

The audit covered the accounts and operations of the Municipality of Gonzaga for CY 2025 and was aimed at determining whether Management presented fairly the Financial Statements of the Municipality in adherence to the International Public Sector Accounting Standards (IPSASs) and whether prevailing laws, rules and regulations have been complied with, and funds were utilized in the most efficient, effective and economical manner. Financial, compliance and performance audits were conducted to achieve these audit objectives.

C. Financial Highlights

The highlights of the financial position and financial performance of the Municipality of Gonzaga, Cagayan for the year ended December 31, 2025, with comparative figures for CY 2024, are as follows:

Particulars	2025	2024	Increase/ (Decrease)
Financial Position			
Assets	775,873,411.14	703,420,002.05	72,453,409.09
Liabilities	144,760,873.86	117,561,250.15	27,199,623.71
Government Equity	631,112,537.28	585,858,751.90	45,253,785.38
Financial Performance			
Income	370,487,142.12	315,854,775.67	54,632,366.45
Expense	332,645,167.36	275,147,690.80	57,497,476.56
Net Income	37,841,974.76	40,707,084.87	(2,865,110.11)

D. Operational Highlights

The major accomplishments of the Municipality for CY 2025, in terms of implementation of programs, projects and activities, are as follows:

Name of Program/ Project/ Activity	Amount
Construction of Two (2) Storey Legislative Building	P14,715,684.30
Concreting of Farm to Market Road, Phase II - Isca	4,997,643.32
Concreting of Farm to Market Road - Pateng	4,997,537.49
Construction of Three (3) Storey Public Market, Phase VIII	5,752,853.00
Concreting of Road Shoulder & Irrigation Canal - Flourishing	1,656,644.94
Concreting of Drainage Canal - Progressive	1,975,000.00
Extension of Wet Public Market - Fish Section	1,674,760.16
Concreting of Road - Ipil	2,998,494.28
Concreting of Road - San Jose, Pateng	1,998,504.98
Concreting of Barangay Road (Patricio) - Calayan	1,997,909.47
Improvement of Multi-Purpose Building	1,498,400.23
Total	**P 44,263,432.17**

E. Independent Auditor's Report on the Financial Statements

The Auditor rendered a qualified opinion on the fairness of presentation of the Financial Statements of the Municipality of Gonzaga, Cagayan for the year ended December 31, due to (1) the existence of unreconciled difference totaling to P412,621,296.55 on the PPE account as appearing in the Financial Statements and the RPCPPE, non-maintenance of Property Cards, and incomplete conduct of one-time cleansing procedures of its physical inventory, thereby, rendering the PPE account unreliable; (2) non-accrual of accumulated earned and unused leave credits of permanent, casual and elective government personnel totaling to P48,974,368.31 resulting in the understatement of Leave Benefits Payable accounts by the same amount, overstatement of Government Equity by P44,477,679.81, and overstatement of Terminal Leave Benefits account by P9,091,978.70 and (3) non-liquidation of cash advances at year-end resulted in the overstatement of asset and understatement of expenses amounting to P8,648,292.20.

D. Summary of Significant Observations and Recommendations

The following are among the Audit Team's significant audit observations and recommendations:

1. Unexpended Local Disaster Risk Reduction Management Fund (LDRRMF) totaling to P17,818,845.91, recorded in the Trust Liability-DRRMF, was not incorporated in the Local Disaster Risk Reduction Management Fund Investment Plan (LDRRMFIP) for CY 2025 and in the revised Annual Investment Program (AIP), hence, affecting the regularity of the expenditures.

   We recommended that the Management prepare a revised Annual Investment Plan incorporating the utilization of the prior years' unexpended LDRRMF and specifying the list of Projects, Programs and Activities (PPAs) to be charged against the fund prior to the utilization of the same in compliance with COA Circular No. 2012-002 and NDRRMC-DILG-DBM Joint Memorandum Circular

(JMC) No. 2013-01 to avoid suspensions or disallowances in audit.

2. Lot purchase transactions of the Municipality charged under the General Fund and 20% Development Fund totaling to P25,397,100.00 were not supported with complete documentation pursuant to Section 4(6) of PD No. 1445 and COA Circular No. 2012-001 dated June 14, 2012, thus, casts doubt on the validity, regularity, and legality of the transactions. Likewise, two (2) lots were paid to sellers who are not the registered owners of the lot appearing in the attached Certified True Copy of the Transfer Certificate of Title (TCT), thus, exposing government to risk of non-transfer of ownership and improper use of public funds.

   We recommended that the Management:

   a. Require the Municipal Accountant to ensure that all claims and disbursements are supported with complete and proper documentation prior to processing and payment;

   b. Strengthen internal controls, including review and verification procedures; and

   c. Submit the lacking documents for the above-cited transactions for audit validation within fifteen (15) days from receipt of this Memorandum.

3. Procurement of Petroleum fuel, Oil and Lubricants (POL) totaling to P7,459,117.93 were not included in the Annual Procurement Plan for CY 2025 of the Municipality, and were paid to a single supplier without any contract, hence, there is no legally binding obligation between the Municipality and the Supplier as the terms and conditions to be undertaken by both parties are not well defined.

   We recommended that the Management follow the specific guidelines provided for Direct Retail Purchase of petroleum fuels, oils and lubricants in Sections 7.8 and 35.13 of the Implementing Rules and Regulations (IRR) of Republic Act No. 12009, specifically the inclusion of estimate POL products in the Annual Procurement Plan and execution of contract/agreement between the Municipality and the supplier to warrant any damage/loss.

4. Payments of petroleum fuel totaling to P5,792,591.59 were made even without complete documentation, contrary to PD No. 1445 and the reasonableness, control and monitoring of fuel consumption could not be ascertained due to non-compliance with COA Circular No. 77-61, hence, affecting the regularity of the disbursements.

We recommended that the Management:

a. Instruct the General Services Officer (GSO) to regularly prepare and submit the Monthly Report on Fuel Consumption and the Monthly Report of Official Travels for each vehicle in the prescribed format; and

b. Direct the Municipal Accountant ensure that all payments for POL are supported with complete documentation in order to establish the validity and regularity of these payments and to avoid the suspension/disallowance of the same.

F. Summary of Total Suspensions, Disallowances and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	-	-	-	-	-
Current Year	-		-	-	-
Total	**-**	**-**	**-**	**-**	**-**
Disallowances	-				
Prior Years	1,819,251.46	-	-	1,819,251.46	-
Current Year	-	-	-	-	-
Total	**1,819,251.46**	**-**	**-**	**1,819,251.46**	**-**
Charges					
Prior Years	2,419,000.00	-	-	2,419,000.00	-
Current Year	-	-	-	-	-
Total	**2,419,000.00**	**-**	-	**2,419,000.00**	-

G. Status of Implementation of Prior Year's Audit Recommendations

Out of the twenty-six (26) audit recommendations in the CY 2024 Annual Audit Report, twelve (12) were implemented and fourteen (14) was not implemented.